

THE WHITE HOUSE

WASHINGTON

INTELLIGENCE MEMORANDUM

DATE: February 9th, 2026

FROM: Megan Fife

SOURCES:

<https://www.cnn.com/2026/02/04/china-us-trump-panama-canal-court-ruling-ck-hutchison.html>

https://www.fmprc.gov.cn/eng/xw/fyrbt/202602/t20260205_11851974.html

<https://www.globaltimes.cn/page/202602/1354829.shtml>

<https://www.reuters.com/world/asia-pacific/ck-hutchison-unit-launches-arbitration-against-panama-over-port-ruling-2026-02-04/>

TOPIC: CK Hutchinson Panama Canal

ISSUE: Panama's Supreme Court ruled on January 29th that CK Hutchinson's ownership of both the Balboa, Pacific, and Cristobal, Atlantic entrance, ports in the Panama Canal is unconstitutional. The ports have been owned by this Hong Kong based company since 1997.

BACKGROUND: Chair of the U.S. House Select Committee on China stated this ruling is a "win for America" as 40%, about \$270 billion a year, of U.S. container traffic goes through the Panama Canal. US Secretary of State Marco Rubio is "encouraged" by this ruling which comes about a year after President Trump threatened to seize control of Panama. The decision declares a \$23 billion deal for CK Hutchinson, owned by Li Ka-shing, unconstitutional due to tax exemptions and exclusive privileges. It will be in effect early February 2026. China has responded by saying the Supreme Court "disregarded facts, violated good faith, and seriously harmed the legitimate rights and interests of Chinese Hong Kong enterprises." and that Panama will pay a "heavy price" for this. On February 4th, CK Hutchinson pursued arbitration to contest the ruling as it strongly disagrees with it. The company stock has climbed 23% this year but following the ruling, shares dropped 8%. Additionally, in March of 2025, 43 ports spanning 23 countries was sold to BlackRock, a U.S. influenced company, and an Italian firm.

ANALYSIS: The U.S. can claim one of the end ports for the Panama Canal which is a good strategic investment. American warships are the most important reason for American interest in the Panama Canal and having a Chinese backed company control both end gates goes against U.S. national security. If war broke out between the two

countries, China would close their gates, effectively eliminating U.S. naval warship access between the Pacific and the Atlantic and they would reroute around South America. This decision came about due to Americans influencing the politics of another country.